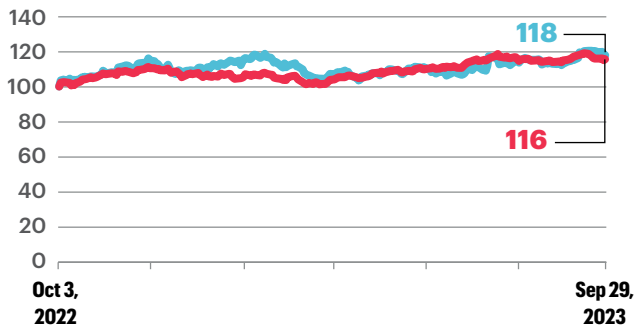


TRACKING THE BENCHMARK

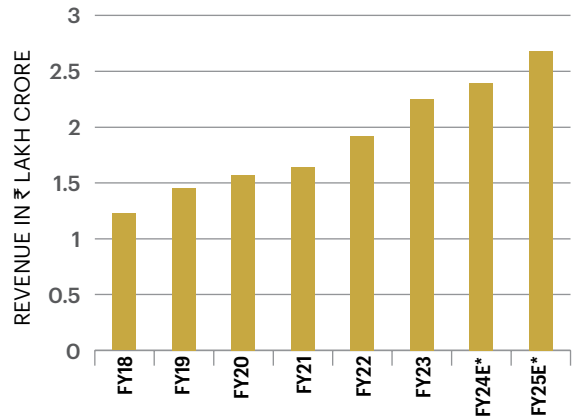
➤ Between October 2022, and September 2023, the TCS stock has marginally outperformed the benchmark BSE Sensex
 ➤ In that period, the stock rose 18 per cent



● TATA CONSULTANCY SERVICES ● S&P BSE SENSEX
 DATA HAS BEEN INDEXED TO 100 SOURCE ACE EQUITY

STEADY GROWTH

➤ According to Motilal Oswal, TCS is expected to continue its growth momentum in the next two financial years ➤ In FY25, its sales are expected to touch ₹2.68 lakh crore



SOURCE ACE EQUITY TILL FY23; *ESTIMATES BY MOFSL

66 |

pects the second half of FY24 to be better than the first, led by a ramp-up in deal wins and a healthy deal pipeline. This, coupled with the company's focus on technologies like 5G, IoT, GenAI, virtual reality/metaverse, and digital twin, is expected to drive long-term growth.

According to Mukul Garg, Senior Vice President, Equity Research-IT Services, Internet, and Staffing at financial services firm Motilal Oswal, there is heightened caution among clients in North America and continental Europe, while momentum in the UK remains strong. "Caution among clients is leading to the re-prioritisation of spending to optimise cost, which is driving strong TCV (total contract value). Operating model transformation deals remain strong, with six large deals won during the quarter," he says. TCS won two mega deals worth \$1 billion each from BSNL and Jaguar

\$1

BILLION

The value of each of the two mega deals TCS won in Q2 from BSNL and Jaguar Land Rover

Land Rover. It is the system integrator (hardware and software provider) for BSNL, and though this deal amounts to \$1 billion, maintenance work post-implementation could lead to incremental business.

"Though revenue from order wins is expected to improve in H2FY24, uncertainty remains high on discretionary and project ramp-downs. Retail continues to face challenges as multiple sub-verticals are witnessing a slowdown, including essential spending," Garg adds.

Experts believe these are short-term demand pangs, and that the longer-term tech spending trajectory remains robust, led by cloud, data, and generative AI. According to retail broking platform IDBI Capital, TCS will be a key beneficiary in the challenging market scenario considering its client profile, ability to win large deals, and robust demand pipeline. "The company is also seeing strong traction in generative AI, which could be a major driver of multi-year tech spend," says Devang Bhatt, Lead Analyst at IDBI Capital.

It is growing sustainably, he adds, but the macroeconomic situ-